payments a separate Appropriation, as distinct from a Demand, is presented for that expenditure and it is not required to be voted by the Lok Sabha.

B. Finance Bill

At the time of presentation of the Annual Financial Statement before the Parliament, a Finance Bill is also presented for imposition, abolition, remission, alteration or regulation of taxes proposed in the Budget. It is a Money Bill as defined in Article 110 (1)(a) of the Constitution. The rates of Personal Income Tax, Corporate Income tax, Customs duties etc are fixed by this bill. It also contains other provisions relating to Budget that could be classified as Money Bill. Chapter VII of Finance (No.2) Act, 2004 (Relating to Levy of Securities Transactions Tax) is an example for this.

C. Statements mandated under FRBM Act

i Macro-Economic Framework Statement

The Macro-economic Framework Statement is presented to Parliament under Section 3 of the Fiscal Responsibility and Budget Management Act, 2003 and the rules made there under. It contains an assessment of the growth prospects of the economy along with the statement of specific underlying assumptions. It also contains an assessment regarding the GDP growth rate, the domestic economy and the stability of the external sector of the economy, fiscal balance of the Central Government and the external sector balance of the economy.

ii. Medium-Term Fiscal Policy cum Fiscal Policy Strategy Statement

The Medium-Term Fiscal Policy Statement cum Fiscal Policy Strategy Statement is presented to Parliament under Section 3 of the Fiscal Responsibility and Budget Management Act, 2003. It sets out the three-year rolling targets for six specific fiscal indicators in relation to GDP at market prices, namely